

BASICS OF ECONOMICS

Every price you have ever paid was settled by two forces pushing against each other.

What you’re getting for your 50 minutes

2.1

Why economics matters when you run a business

p. 2–3

2.2

Supply, demand, and what moves each one

p. 4–5

2.3

The degrees of business competition

p. 6

2.4

Economic indicators and the health of an economy

p. 7

2.5

Fiscal and monetary policy across the business cycle

p. 8

Red-outlined boxes are in-class activities — that’s your cue to actually participate, not just read.

THE DEFINITION WE BUILD ON ALL CLASS

Economics is the study of how individuals and businesses make decisions to best satisfy wants, needs, and desires with **limited resources**.

Chapter 1 ended with a definition of business. This one explains the world that business operates inside: who decides what gets made, what sets the price, how much competition you face, and what the government does when the whole system speeds up or stalls.

FIRST IMPRESSIONS • QUESTIONS YOU WALK IN WITH

Two ways to look at the same economy

Economics splits into two studies. They ask different questions at different altitudes — and a business manager needs both.

Economics.

The study of how individuals and businesses make decisions to best satisfy wants, needs, and desires with limited resources. Scarcity is the whole reason the field exists.

Microeconomics.

The study of how individual businesses, households, and consumers decide to allocate their limited resources in the exchange of goods and services.

Macroeconomics.

The study of the behavior of the overall economy.

WHICH LENS ANSWERS WHICH QUESTION?

Micro

One business, one buyer

Should we raise our price? How many units should we make?
What will our customers do if a competitor opens next door?

YOUR OWN EXAMPLE

Macro

The whole system

Is the economy growing or shrinking? Are prices rising? Are people employed? Is borrowing cheap or expensive right now?

YOUR OWN EXAMPLE

Economic systems

An **economy** is a system that tries to balance a country’s available resources — land, capital, and labor — against the wants and needs of consumers.

EVERY ECONOMY ANSWERS THREE QUESTIONS

What is produced?

How is it produced?

Who gets the finished product?

THE DIFFERENCE IS HOW MUCH THE GOVERNMENT DECIDES



A continuum, not three boxes: most real economies sit somewhere in the middle. Where would you put the United States, and why?

IN-CLASS ACTIVITY

Why do business managers need to be concerned with economics?

Supply

Supply is the quantity of goods or services made available for sale.

Price ↑ → **Supply** ↑ · **Price** ↓ → **Supply** ↓

THE LAW OF SUPPLY – SELLERS OFFER MORE WHEN IT PAYS MORE

DETERMINANTS OF SUPPLY – WHAT SHIFTS THE WHOLE CURVE

Price moves you *along* the curve. These five move the curve itself.

01

Technology change

Better tools and methods let a producer make more, for less, in the same amount of time.

EX.

02

Change in resource price

When the inputs get more expensive, production costs rise and the incentive to supply falls.

EX.

03

Price expectations

What a seller thinks the price will be later changes what they're willing to sell now.

EX.

04

Number of suppliers

More firms in the market means more of the product available at any given price.

EX.

05

Price of substitute goods

If a comparable good sells for less, supply of the pricier version takes the hit.

EX.

Which direction?

For each of the five, mark whether it shifts supply **left** (less) or **right** (more) as we discuss it.

WORKING SPACE

Demand

Demand is the quantity of a good or service people want to buy at any given time.

Price ↓ → **Demand** ↑ · **Price** ↑ → **Demand** ↓

THE LAW OF DEMAND — THE MIRROR IMAGE OF SUPPLY

DETERMINANTS OF DEMAND — WHAT SHIFTS THE WHOLE CURVE

01

Changes in income levels

More income means people can buy more; less income means they cut back.

EX.

02

Population changes

More people — or a different mix of people — changes how much of a thing gets wanted.

EX.

03

Consumer preference

Demand rises and falls with what happens to be popular at the moment.

EX.

04

Complementary goods

Two things consumed together, so demand for one pulls demand for the other along with it.

EX.

05

Substitute goods

Two things used in place of each other, so demand for one comes at the other's expense.

EX.

Complement or substitute?

The pair that trips people up. Write the test you'll use to tell them apart.

WORKING SPACE

Market price

Put the two curves on the same graph and they cross exactly once. That crossing point is the **market price** — also called the **equilibrium price**.

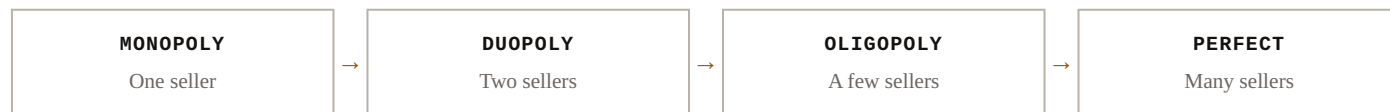
Supply = Demand → Market price

EVERYONE WHO WANTS THE ITEM AT THAT PRICE CAN GET ONE — WITH NONE LEFT OVER

SKETCH THE GRAPH AS WE BUILD IT IN CLASS

Degrees of business competition

Competition isn't on or off — it's a spectrum, and where a market sits on it determines how much power any one seller has over price.



Left to right: less competition to more competition — and less pricing power to none at all.

Monopoly.

One provider controls all or nearly all of a market. With no rival to undercut it, the seller sets the price.

Duopoly and oligopoly.

Two firms dominate, or a few sellers each hold a large share. Each one watches what the others do before moving.

Perfect competition.

Many buyers and many sellers trading virtually identical products, with easy entry and exit. No single supplier can move the price.

IN-CLASS DISCUSSION

Name a real company operating in each degree of competition — and be ready to defend the call.

Mono.

Duo.

Oligo.

Perfect

Economic indicators

Economic indicators are statistics about economic activity. They're grouped by *when* they tell you something — which is what makes them useful or useless for a decision you have to make today.

Leading indicators.

Statistics used to help predict how the economy will do in the near future.

Coincident indicators.

Statistics that reflect how the economy is doing right now.

Lagging indicators.

Statistics that change only after the economy as a whole has already changed.

THE FIVE YOU NEED TO KNOW

01

GDP

Gross domestic product — the broadest measure of a country's economic health. Counts only what is actually produced inside the country.

LEADING / COINCIDENT / LAGGING?

02

CPI

Consumer price index — tracks price changes over time for the goods and services consumers buy.

LEADING / COINCIDENT / LAGGING?

03

PPI

Producer price index — tracks the average change in prices at the wholesale level, before goods reach the shelf.

LEADING / COINCIDENT / LAGGING?

04

Unemployment rate

The share of workers who are not working and are actively looking for work.

LEADING / COINCIDENT / LAGGING?

05

Productivity

The quantity of goods and services that human and physical resources can produce in a given period of time.

LEADING / COINCIDENT / LAGGING?

Which would you watch?

You run a business and have to decide whether to hire this quarter. Which of the five do you check first?

WORKING SPACE

The business cycle

The **business cycle** is the periodic increase and decrease of economic output. It runs on its own — and the government has two sets of levers for smoothing out the swings.

Fiscal policy

Managed by the **federal government**, using two tools:

Tax policy.

Changing what people and businesses owe changes how much money stays in their hands to spend.

Government spending.

Money the government puts into the economy directly, which also creates jobs along the way.

Monetary policy

Managed by **the Fed**, aimed at the **money supply** — the combined amount of money available within an economy. Three tools:

OPEN MARKET OPS Buy / sell bonds	DISCOUNT RATE Cost to borrow	RESERVE REQUIREMENT Cash banks must hold
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Closing the ledger

Define each term in your own words. If you can do all of them without looking, you’re ready for the quiz.

Economics	Microeconomics	Macroeconomics
Economy	Planned economy	Free market economy
Mixed economy	Supply	Determinants of supply
Demand	Determinants of demand	Market / equilibrium price
Monopoly	Duopoly	Oligopoly
Perfect competition	Economic indicators	Leading indicators
Coincident indicators	Lagging indicators	GDP
CPI	PPI	Unemployment rate
Productivity	Business cycle	Fiscal policy
Monetary policy	Money supply	

DEFINE THESE IN YOUR OWN WORDS

ACTIVITY MINUTE · BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your two biggest “ah-ha” moments:

Which part of economics applies most to business, and why?

TOTAL — 50 MIN · PAID IN FULL

Chapter 1 said a business sells products to earn a profit. Chapter 2 explains who sets that price, how many rivals get a say, and what happens to all of it when the whole economy turns.